2. Paired comparison Method

Here, each employee is compared with all the other persons in group one at a time. The number of times each individual is compared with another is tailed on a piece of paper. These numbers yield to rank order of the entire group. For E.g.: if there are five persons to be compared, then A's performance is compared to B's and a decision is arrived at as to whose is better. Then A compared to B, C, D and E with each other. Thus, one arrives at the decisions, determined by the formulas:

$$N (N-1)/2$$

Where N represents the number of persons to be compared. The results are tabulated and a rank is assigned to each individual. The method is not suitable when a group is large, as a number of judgments become excessively large.

3. Grading

The rater considers certain features and marks them according to scale. The selected features may be analytical ability, cooperativeness, dependability, self expression, job knowledge and leadership. They may be:



Plate 7.7 Gradimg

- Outstanding
- Very good
- Good / average
- Fair
- Poor

The actual performance of an employee is compared with these grades and he is finally allotted one grade.

DO YOU KNOW?

Modern method of rating the performance of employee

The Behaviourally Anchored Rating Scale (BARS)

It identifies the major dimensions of a job and then ranks and assesses specific behaviour on each dimension. Behaviour is always activity – oriented and not result oriented. Hence there is a chance for conflict between the employee and the manager since the former who does the activity may not accomplish the desired result or come up to the expectation of the latter. BARS do not emphasize outcome or result.

7.4.2 Wages

The basic purpose of wage is to establish and maintain an equitable structure for personnel working in an organization. From the worker's view it is take home pay received for the labour performed. Wages in the widest sense mean any economic compensation paid

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